

- to reach financial goals faster
- for financial freedom and security
- to help create a better world.

Let's get into it.

Beat inflation

In simple terms, inflation is where the price of goods and services slowly creep up year by year. Inflation is not your friend. She doesn't get to sit with us.

You don't notice the effects of inflation every single year, but you notice it when you get flashbacks about how those \$4 ice creams only cost \$0.99 in your childhood. Why on earth would shop owners do that? Well, it's not exactly up to them.

There are three main types of inflation:

1. **demand-pull inflation**, where prices rise because the demand for the ice cream exceeds how many ice creams can be made
2. **cost-push inflation**, when the cost of making the ice cream increases, and that cost is passed on to the consumer
3. **built-in inflation**, which doesn't have a whole lot to do with the ice creams and more to do with government involvement and greater economic conditions.

If you are somehow unbothered by the fact that your ice cream costs will increase every year, think about it this way. The problem with inflation is less to do with goods and services slowly becoming more costly, and more to do with the fact that the value of your dollar decreases annually. As time goes on, your dollar is worth less and less. One hundred dollars in 2000 has the buying power of \$58.72 in 2022 due to inflation chipping away at it year by year.

Let's use another example: if you have \$10 right now, you could probably buy two coffees, but in 2030, that \$10 may go down to 1.5 coffees, and in